

D196

Principles of Financial and Managerial Accounting

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A hardware chain with 85 stores prepares a report that breaks down labor hours and shrinkage by store so regional managers can decide where to add staff next quarter. The report is not shared outside the company, and its layout was designed by the operations VP, a former Army logistics officer. Which type of accounting is this?

- A. Financial accounting, because every accounting report must follow GAAP.
- B. Financial accounting.
- C. Managerial accounting.
- D. Government accounting, because the layout follows military practice.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A dental practice owned by two partners who met in school pays \$8,000 cash to a supplier to settle an account payable from last month. The office manager has worked there nine years. What is the effect on the accounting equation?

- A. Only assets fall by \$8,000.
- B. Assets and liabilities each fall by \$8,000; equity is unchanged.
- C. Assets rise by \$8,000 and liabilities fall by \$8,000.
- D. Assets and equity each fall by \$8,000.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

At year-end a company reports total assets of \$750,000 and equity of \$310,000. What are its total liabilities?

- A. It cannot be found without the year's net income.
- B. \$310,000
- C. \$440,000
- D. \$1,060,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

An investor wants to know whether a bicycle maker earned a profit during the year ended June 30. The company moved its headquarters in March, and its CEO gave a well-received conference talk. Which financial statement answers the question?

- A. The statement of cash flows.
- B. The income statement.
- C. The statement of retained earnings.
- D. The balance sheet.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A grocery distributor with a fleet of 60 trucks reports current assets of \$900,000, current liabilities of \$600,000, and a \$1.2 million long-term mortgage on its warehouse. Its credit rating was upgraded last year. What is its current ratio?

- A. 1.5
- B. 0.5
- C. 0.67
- D. \$300,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

A company's current ratio is 2.5, and its current assets are \$500,000. What are its current liabilities?

- A. \$200,000
- B. \$500,000
- C. \$300,000
- D. \$1,250,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A food truck sells tacos for \$4 each. Ingredients and supplies cost \$1.50 per taco, and monthly fixed costs for the truck payment, permits, and insurance total \$5,000. The owner was named best new vendor at the county fair. How many tacos must it sell each month to break even?

- A. 1,250
- B. 2,000
- C. 3,334
- D. 910

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8. [TRANSFER — reversed stem / different variable]

A product sells for \$60 with a variable cost of \$35 per unit and breaks even at 1,200 units. What are its fixed costs?

- A. \$72,000
- B. \$42,000
- C. \$30,000
- D. 48

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A furniture maker that exports to Canada is starting its annual master budget. The controller, who is new this year, wants to begin with the production budget because the plant is the largest cost center. Which budget must be prepared first?

- A. The cash budget.
- B. The capital expenditures budget.
- C. The production budget.
- D. The sales budget.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A laundry service budgeted 10,000 loads at \$3 of variable cost each (\$30,000). It actually washed 12,000 loads and spent \$34,800 on variable costs. The company also opened a second location downtown. Using a flexible budget, what is the variable cost variance?

- A. \$36,000
- B. \$1,200 unfavorable.
- C. \$4,800 unfavorable.
- D. \$1,200 favorable.

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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11. [TRANSFER — reversed stem / different variable]

A static budget shows variable costs of \$50,000 for 5,000 units. Actual output was 4,000 units. What variable cost should the flexible budget show?

- A. \$40,000
- B. \$50,000
- C. \$10
- D. \$62,500

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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12.

An analyst at a 300-employee staffing firm lists monthly sales in column B and a 6% commission rate in cell E1. She types =B2*E1 in C2 and copies it down to C13. The file is stored on the company's shared drive. What goes wrong, and how is it fixed?

- A. Nothing goes wrong; copied formulas always keep their original references.
- B. The sales reference is wrong; use =\$B\$2*E1.
- C. Shared-drive files cannot hold formulas; save a local copy.
- D. The rate reference shifts down to empty cells; use =B2*\$E\$1.

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer C Concept 1

A hardware chain ~~with 85 stores~~ prepares a report that breaks down labor hours and shrinkage by store so regional managers can decide where to add staff next quarter. The report is not shared outside the company, and its layout was designed by the operations VP, ~~a former Army logistics officer~~. Which type of accounting is this?

Target word: type of accounting **Decides:** Internal users making an operating decision.

A	Absolute language	Internal reports have no required format; GAAP governs external reporting.
B	Confusion set	Financial accounting serves outside users such as investors and lenders.
C	Correct	Built for internal managers' decisions, in whatever format helps them.
D	Camouflage	The VP's Army background does not decide the report's purpose.

2. Answer B Concept 2

A dental practice ~~owned by two partners who met in school~~ pays \$8,000 cash to a supplier to settle an account payable from last month. ~~The office manager has worked there nine years.~~ What is the effect on the accounting equation?

Target word: effect on the equation **Decides:** Cash down and accounts payable down by the same amount.

A	Dropped element	Leaves the payable on the books, so the equation would not balance.
B	Correct	Cash –8,000 and accounts payable –8,000; the expense was recorded when the supplies were bought.
C	Inverted operation	Paying cash lowers assets.
D	Adjacent category	Treats the payment as a new expense; it only settles an existing liability.

3. Answer C Concept 2 • transfer

At year-end a company reports total assets of \$750,000 and equity of \$310,000. What are its total liabilities?

Target word: solve for liabilities **Decides:** Liabilities = Assets – Equity.

A	Confusion set	Net income already flows into the equity total that is given.
B	Wrong stem number	That is the equity figure given.
C	Correct	$\$750,000 - \$310,000 = \$440,000$.
D	Inverted operation	Adds equity to assets instead of subtracting.

4. Answer B Concept 3

An investor wants to know whether a bicycle maker earned a profit during the year ended June 30. ~~The company moved its headquarters in March, and its CEO gave a well received conference talk.~~ Which financial statement answers the question?

Target word: statement showing profit for a period **Decides:** "During the year ended" = a period's performance.

A	Adjacent category	Cash and profit differ under accrual accounting.
B	Correct	Revenues minus expenses for the period give net income.
C	Dropped element	It uses net income as an input but does not show the revenues and expenses that produced it.
D	Confusion set	Shows position at a date, not profit over a period.

5. Answer A Concept 4

A grocery distributor ~~with a fleet of 60 trucks~~ reports current assets of \$900,000, current liabilities of \$600,000, and a \$1.2 million long-term mortgage on its warehouse. ~~Its credit rating was upgraded last year.~~ What is its current ratio?

Target word: current ratio **Decides:** Current assets / current liabilities only.

A	Correct	$\$900,000 / \$600,000 = 1.5$.
B	Adjacent category	Adds the long-term mortgage to liabilities: $\$900,000 / \$1,800,000$.
C	Inverted operation	Divides current liabilities by current assets.
D	Confusion set	That is working capital, not the ratio.

6. Answer A Concept 4 • transfer

A company's current ratio is 2.5, and its current assets are \$500,000. What are its current liabilities?

Target word: solve for current liabilities **Decides:** Current liabilities = current assets / ratio.

A	Correct	$\$500,000 / 2.5 = \$200,000$.
B	Wrong stem number	The current assets given in the stem.
C	Confusion set	That is working capital ($\$500,000 - \$200,000$).
D	Inverted operation	Multiplies by the ratio instead of dividing.

7. Answer B Concept 5

A food truck sells tacos for \$4 each. Ingredients and supplies cost \$1.50 per taco, and monthly fixed costs for the truck payment, permits, and insurance total \$5,000. ~~The owner was named best new vendor at the county fair.~~ How many tacos must it sell each month to break even?

Target word: break-even units **Decides:** Contribution margin = $\$4.00 - \$1.50 = \$2.50$.

A	Dropped element	$\$5,000 / \4 leaves out the variable cost.
B	Correct	$\$5,000 / \$2.50 = 2,000$ tacos.
C	Adjacent category	$\$5,000 / \1.50 treats variable cost as the margin.
D	Inverted operation	$\$5,000 / \5.50 adds variable cost to price instead of subtracting.

8. Answer C Concept 5 • transfer

A product sells for \$60 with a variable cost of \$35 per unit and breaks even at 1,200 units. What are its fixed costs?

Target word: solve for fixed costs **Decides:** Fixed costs = break-even units × contribution margin.

A	Dropped element	$\$60 \times 1,200$ is revenue; variable cost was left out.
B	Confusion set	$\$35 \times 1,200$ is total variable cost, not fixed cost.
C	Correct	$(\$60 - \$35) \times 1,200 = \$25 \times 1,200 = \$30,000$.
D	Inverted operation	$1,200 / \$25$ divides units by margin.

9. Answer D Concept 6

A furniture maker ~~that exports to Canada~~ is starting its annual master budget. The controller, ~~who is new this year,~~ wants to begin with the production budget because the plant is the largest cost center. Which budget must be prepared first?

Target word: first budget in the sequence **Decides:** Every other budget depends on expected sales.

A	Inverted operation	The cash budget comes near the end, after the operating budgets.
B	Adjacent category	A supporting budget, not the starting point of the operating sequence.
C	Camouflage	Size of the cost center does not decide order; production needs the sales forecast.
D	Correct	Production, purchases, expenses, and cash all key off forecast sales.

10. Answer D Concept 7

A laundry service budgeted 10,000 loads at \$3 of variable cost each (\$30,000). It actually washed 12,000 loads and spent \$34,800 on variable costs. ~~The company also opened a second location downtown.~~ Using a flexible budget, what is the variable cost variance?

Target word: flexible budget variance **Decides:** Flexed budget = $12,000 \times \$3 = \$36,000$.

A	Wrong stem number	That is the flexed budget itself, not the variance.
B	Inverted operation	Right amount, wrong label: spending below the flexed budget is favorable.
C	Adjacent category	Compares actual to the static \$30,000 budget despite higher volume.
D	Correct	$\$36,000$ flexed – $\$34,800$ actual = $\$1,200$ under, so favorable.

11. Answer A Concept 7 • transfer

A static budget shows variable costs of \$50,000 for 5,000 units. Actual output was 4,000 units. What variable cost should the flexible budget show?

Target word: solve for the flexed amount **Decides:** Rate = $\$50,000 / 5,000 = \10 per unit.

A	Correct	$\$10 \times 4,000 = \$40,000$.
B	Dropped element	Ignores the change in volume.
C	Confusion set	That is the per-unit rate, not the flexed total.
D	Inverted operation	Scales by $5,000 / 4,000$ instead of $4,000 / 5,000$.

12. Answer D Concept 8

An analyst at a 300-employee staffing firm lists monthly sales in column B and a 6% commission rate in cell E1. She types =B2*E1 in C2 and copies it down to C13. The file is stored on the company's shared drive. What goes wrong, and how is it fixed?

Target word: error and fix when copying a formula **Decides:** E1 is relative, so it shifts to E2, E3, and so on.

A	Absolute language	Relative references change when copied.
B	Inverted operation	Locks the cell that should move and leaves the rate free to drift.
C	Camouflage	File location has nothing to do with cell references.
D	Correct	The \$ anchors keep every copy pointed at E1 while B2 still moves row by row.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	5	
Wrong stem number	A figure copied from the prompt that is not the answer.	3	
Adjacent category	The right idea in the wrong bucket.	6	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	10	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	7	
Camouflage	Answers a stem fact that was never the question.	3	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Financial vs. managerial accounting	Financial accounting reports to outside users under GAAP; managerial accounting serves internal decision makers with no required format.	Assuming every accounting report must follow GAAP.	Who reads the report: investors and lenders, or managers.
2	The accounting equation	Assets = Liabilities + Equity after every transaction; each entry changes at least two accounts.	Changing only one side, or treating a payment of a payable as an expense.	"What is the effect on assets, liabilities, and equity?"
3	Which statement shows what	Income statement = profit for a period; balance sheet = position at a date; cash flow statement = cash movement by activity.	Looking for profit on the balance sheet or cash flow statement.	"For the year ended" vs. "as of".
4	Current ratio	Current ratio = current assets / current liabilities; working capital = current assets – current liabilities.	Including long-term debt, or reporting working capital as the ratio.	Current assets and current liabilities in one stem, plus a long-term figure as a decoy.
5	Contribution margin and break-even	Break-even units = fixed costs / (price – variable cost per unit).	Dividing fixed costs by price or by variable cost.	A per-unit price, a per-unit variable cost, and a fixed-cost total.
6	Master budget sequence	The sales budget comes first; production, purchases, operating expense, and cash budgets all flow from expected sales.	Starting with the largest cost area or with cash.	"Which budget is prepared first?"
7	Flexible budget variance	Compare actual costs to a budget flexed to actual volume (rate × actual units), not to the original static budget.	Comparing actual to the static budget when volume changed.	Budgeted volume and actual volume differ.
8	Relative vs. absolute cell references	Relative references shift when copied; a \$ anchor (e.g., \$E\$1) keeps a reference fixed.	Assuming a copied formula keeps pointing to the same cells.	One constant (rate, total) used by a formula copied down a column.

Course scope (public description): Principles of Financial and Managerial Accounting provides students with an introduction to the discipline of accounting and its context within the business environment. In this course, students will learn to differentiate between financial, cost, and managerial accounting and where these accounting types fit into the business environment. This course will help students gain a fundamental knowledge of the budgeting process, how to analyze basic financial statements, and how to use spreadsheets to analyze data. This course provides students with a business generalist overview of the field of accounting and acts as a preview course for the accounting major.